

SENATE CHAMBER
STATE OF OKLAHOMA

DISPOSITION

☒ FLOOR AMENDMENT

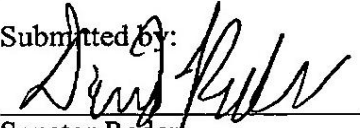
No. 2

☐ COMMITTEE AMENDMENT

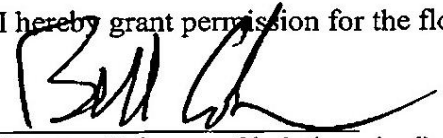
(Date)

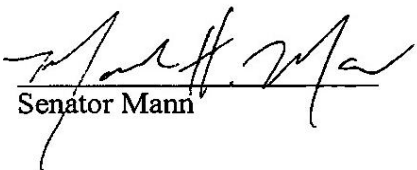
I move to amend House Bill No. 1081, by substituting the attached floor substitute (Request # 3780) for the title, enacting clause and entire body of the measure.

Submitted by:


Senator Rader

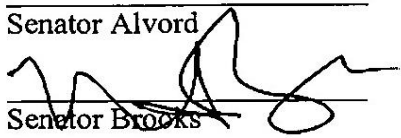
I hereby grant permission for the floor substitute to be adopted.

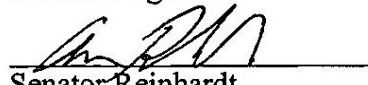

Senator Coleman, Chair (required)


Senator Mann

Senator Alvord

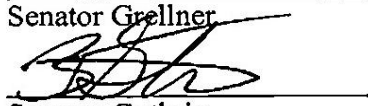
Senator Pugh

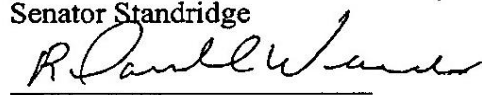

Senator Brooks


Senator Reinhardt

Senator Grellner

Senator Standridge


Senator Guthrie


Senator Weaver

Senator Paxton, President Pro Tempore

Senator Daniels, Majority Floor Leader

Note: Business and Insurance committee majority requires six (6) members' signatures.

Rader-CAD-FS2-HB1081
3/3/2026 11:10 AM

(Floor Amendments Only)

Date and Time Filed: 3-4-26

1:55pm *fd*

☐

Untimely

☐

Amendment Cycle Extended

☐

Secondary Amendment

STATE OF OKLAHOMA

2nd Session of the 60th Legislature (2026)

FLOOR SUBSTITUTE
FOR ENGROSSED

HOUSE BILL NO. 1081

By: Tedford and Blancett of the
House

and

Rader of the Senate

FLOOR SUBSTITUTE

[appraisers - invoice - appraisal management
services - penalties - effective date]

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 1. AMENDATORY 59 O.S. 2021, Section 858-723, as
amended by Section 2, Chapter 112, O.S.L. 2025 (59 O.S. Supp. 2025,
Section 858-723), is amended to read as follows:

Section 858-723. A. The Real Estate Appraiser Board, after
notice and opportunity for a hearing, pursuant to Article II of the
Administrative Procedures Act, may issue an order imposing one or
more of the following penalties whenever the Board finds, by clear
and convincing evidence, that a certificate holder has violated any
provision of the Oklahoma Certified Real Estate Appraisers Act, or
rules promulgated pursuant thereto:

- 1 1. Revocation of the certificate with or without the right to
- 2 reapply;
- 3 2. Suspension of the certificate for a period not to exceed
- 4 five (5) years;
- 5 3. Probation, for a period of time and under such terms and
- 6 conditions as deemed appropriate by the Board;
- 7 4. Stipulations, limitations, restrictions, and conditions
- 8 relating to practice;
- 9 5. Censure, including specific redress, if appropriate;
- 10 6. Reprimand, either public or private;
- 11 7. Satisfactory completion of an educational program or
- 12 programs;
- 13 8. Administrative fines as authorized by the Oklahoma Certified
- 14 Real Estate Appraisers Act; and
- 15 9. Payment of costs expended by the Board for any legal fees
- 16 and costs and probation and monitoring fees including, but not
- 17 limited to, administrative costs, witness fees and attorney fees.
- 18 B. 1. Any administrative fine imposed as a result of a
- 19 violation of the Oklahoma Certified Real Estate Appraisers Act or
- 20 the rules of the Board promulgated pursuant thereto shall not:
- 21 a. be less than Fifty Dollars (\$50.00) and shall not
- 22 exceed Two Thousand Dollars (\$2,000.00) for each
- 23 violation of this act or the rules of the Board, or
- 24

b. exceed Five Thousand Dollars (\$5,000.00) for all violations resulting from a single incident or transaction.

2. All administrative fines shall be paid within thirty (30) days of notification of the certificate holder by the Board of the order of the Board imposing the administrative fine, unless the certificate holder has entered into an agreement with the Board extending the period for payment.

3. The certificate may be suspended until any fine imposed upon the licensee by the Board is paid.

4. Unless the certificate holder has entered into an agreement with the Board extending the period for payment, if fines are not paid in full by the licensee within thirty (30) days of the notification by the Board of the order, the fines shall double and the certificate holder shall have an additional thirty-day period. If the double fine is not paid within the additional thirty-day period, the certificate shall automatically be revoked.

5. All monies received by the Board as a result of the imposition of the administrative fine provided for in this section shall be deposited in the Oklahoma Certified Real Estate Appraisers Revolving Fund created pursuant to Section 858-730 of this title.

C. The rights of any holder under a certificate as a trainee, state licensed, state certified residential or state certified general real estate appraiser may be revoked or suspended, or the

holder of the certificate may be otherwise disciplined pursuant to the provisions of the Oklahoma Certified Real Estate Appraisers Act, upon any of the grounds set forth in this section. The Board may investigate the actions of a trainee, state licensed, state certified residential or state certified general real estate appraiser, and may revoke or suspend the rights of a certificate holder or otherwise discipline a trainee, state licensed, state certified residential or state certified general real estate appraiser for any of the following acts or omissions:

1. Procuring or attempting to procure a certificate pursuant to the provisions of the Oklahoma Certified Real Estate Appraisers Act by knowingly making a false statement, knowingly submitting false information, refusing to provide complete information in response to a question in an application for certification or through any form of fraud or misrepresentation;

2. Failing to meet the minimum qualifications established pursuant to the provisions of the Oklahoma Certified Real Estate Appraisers Act;

3. Paying money other than provided for by the Oklahoma Certified Real Estate Appraisers Act to any member or employee of the Board to procure a certificate pursuant to the Oklahoma Certified Real Estate Appraisers Act;

4. A conviction, including a conviction based upon a plea of guilty or nolo contendere, of a felony crime that substantially

1 relates to the practice of real estate appraisals or poses a
2 reasonable threat to public safety;

3 5. An act or omission involving dishonesty, fraud, or
4 misrepresentation with the intent to substantially benefit the
5 certificate holder or another person or with the intent to
6 substantially injure another person;

7 6. Violation of any of the standards for the development or
8 communication of real estate appraisals as provided in the Oklahoma
9 Certified Real Estate Appraisers Act;

10 7. Failure or refusal without good cause to exercise reasonable
11 diligence in developing an appraisal, preparing an appraisal report,
12 or communicating an appraisal;

13 8. Negligence or incompetence in developing an appraisal, in
14 preparing an appraisal report, or in communicating an appraisal;

15 9. Willfully disregarding or violating any of the provisions of
16 the Oklahoma Certified Real Estate Appraisers Act or the regulations
17 of the Board for the administration and enforcement of the
18 provisions of the Oklahoma Certified Real Estate Appraisers Act;

19 10. Accepting an appraisal assignment when the employment
20 itself is contingent upon the appraiser reporting a predetermined
21 estimate, analysis or opinion, or where the fee to be paid is
22 contingent upon the opinion, conclusion, or valuation reached, or
23 upon the consequences resulting from the appraisal assignment;

1 11. Violating the confidential nature of governmental records
2 to which the appraiser gained access through employment or
3 engagement as an appraiser by a governmental agency;

4 12. Entry of a final civil judgment against the person on
5 grounds of deceit, fraud, or willful or knowing misrepresentation in
6 the making of any appraisal of real property;

7 13. Violating any of the provisions in the code of ethics set
8 forth in this title; ~~or~~

9 14. Failing to at any time properly identify ~~themselves~~ himself
10 or herself according to the specific type of certification held; or

11 15. Willful noncompliance with the requirement to submit
12 invoices pursuant to paragraph 4 of subsection A of Section 858-732
13 of this title.

14 D. In a disciplinary proceeding based upon a civil judgment,
15 the trainee, state licensed, state certified residential or state
16 certified general real estate appraiser shall be afforded an
17 opportunity to present matters in mitigation and extenuation, but
18 may not collaterally attack the civil judgment.

19 E. 1. A complaint may be filed with the Board against a
20 trainee or state licensed or state certified appraiser for any
21 violations relating to a specific transaction of the Oklahoma
22 Certified Real Estate Appraisers Act by any person who is the
23 recipient of, relies upon or uses an appraisal prepared for a
24

1 federally related transaction or real-estate-related financial
2 transaction as described in Section 858-701 of this title.

3 2. Any person with knowledge of any circumstances surrounding
4 an act or omission by a trainee or state licensed or state certified
5 appraiser involving fraud, dishonesty or misrepresentation in any
6 real property valuation-related activity, not limited to federally
7 related transactions, may file a complaint with the Board setting
8 forth all facts surrounding the act or omission.

9 3. A complaint may be filed against a trainee or state licensed
10 or state certified appraiser directly by the Board, if reasonable
11 cause exists for violations of the code of ethics set forth in this
12 act.

13 4. Any complaint filed pursuant to this subsection shall be in
14 writing and shall be on a form approved by the Board, either in
15 paper form or filed electronically. The trainee or state licensed
16 or state certified appraiser shall be entitled to any hearings or
17 subject to any disciplinary proceedings provided for in the Oklahoma
18 Certified Real Estate Appraisers Act based upon any complaint filed
19 pursuant to this subsection.

20 F. As used in this section:

21 1. "Substantially relates" means the nature of criminal conduct
22 for which the person was convicted has a direct bearing on the
23 fitness or ability to perform one or more of the duties or
24 responsibilities necessarily related to the occupation; and

1 2. "Poses a reasonable threat" means the nature of criminal
2 conduct for which the person was convicted involved an act or threat
3 of harm against another and has a bearing on the fitness or ability
4 to serve the public or work with others in the occupation.

5 SECTION 2. AMENDATORY 59 O.S. 2021, Section 858-732, is
6 amended to read as follows:

7 Section 858-732. A. All persons listed in paragraph 2 of
8 subsection A of Section 858-702 of this title ~~must~~ shall conduct all
9 real property valuations and any real property valuation-related
10 activity in conformance with the following:

11 1. An appraiser ~~must~~ shall perform ethically and competently
12 and not engage in conduct that is unlawful, unethical or improper.
13 An appraiser who could reasonably be perceived to act as a
14 disinterested third party in rendering an unbiased real property
15 valuation ~~must~~ shall perform assignments with impartiality,
16 objectivity and independence and without accommodation of personal
17 interests;

18 2. The acceptance of compensation that is contingent upon the
19 reporting of a predetermined value or a direction in value that
20 favors the cause of the client, the amount of the value estimate,
21 the attainment of a stipulated result or the occurrence of a
22 subsequent event is unethical;

23
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1 3. The payment of undisclosed fees, commissions or things of
2 value in connection with the procurement of real property valuation
3 assignments is unethical;

4 4. When providing residential appraisal services, an invoice
5 for service exhibiting compensation to the appraiser shall be
6 included in all assignments. Such invoice shall be submitted in
7 image or PDF form;

8 5. Advertising for or soliciting appraisal assignments in a
9 manner which is false, misleading or exaggerated is unethical;

10 ~~5.~~ 6. An appraiser ~~must~~ shall protect the confidential nature
11 of the appraiser-client relationship; and

12 ~~6.~~ 7. Using or attempting to use the seal, certificate, or
13 license of another as ~~their~~ the appraiser's own; falsely
14 impersonating any duly licensed appraiser; using or attempting to
15 use an inactive, expired, suspended, or revoked license; or aiding
16 or abetting any of the foregoing is unethical.

17 B. Although this code of ethics is based upon the ethics
18 provisions of the Uniform Standards of Professional Appraisal
19 Practice, it is not the intent of the Legislature to incorporate the
20 standards set forth in the Uniform Standards of Professional
21 Appraisal Practice.

22 SECTION 3. AMENDATORY 59 O.S. 2021, Section 858-818, is
23 amended to read as follows:
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1 Section 858-818. A. An ~~AMC~~ appraisal management company (AMC)
2 registered under the Oklahoma Appraisal Management Company
3 Regulation Act shall be required to have a system in place to
4 disclose to its client the fees paid for appraisal management
5 services and the fees paid to the appraiser for the completion for
6 an appraisal assignment.

7 B. An AMC registered under the Oklahoma Appraisal Management
8 Company Regulation Act that applies for registration in this state
9 shall accept and shall not prohibit an appraiser that is part of an
10 appraiser panel of the AMC from including an invoice as an
11 attachment to the appraisal recording the fee that the appraiser was
12 paid by the AMC for the performance of the appraisal ~~within the~~
13 ~~communication of the appraisal that is submitted by the appraiser to~~
14 ~~the AMC.~~ Any demand by an AMC or its employees to an appraiser to
15 remove an invoice, or any willful removal by an AMC or its employees
16 of an attached invoice to the appraisal recording fee, showing the
17 appraiser was paid by the AMC for performance of the appraisal shall
18 be in violation of this act and shall be subject to penalties set
19 forth in Section 858-827 of this title.

20 SECTION 4. This act shall become effective November 1, 2026.

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22 60-2-3780 CAD 3/4/2026 3:14:00 PM
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